Greenfire Resources Ltd. (NYSE/TSX: GFR)

Basel Al-Ghousein (Analyst), Northwall Research

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RATING	CLOSING PRICE
Buy	**USD 7.00**
PRICE TARGET	IMPLIED ALL-IN RETURN
USD 8.25	**17.9%**

Investment summary

Greenfire Resources is an Alberta oil sands producer using SAGD at its Hangingstone Expansion and Demo assets. In August 2026 it closed the C$1.277 billion acquisition of Connacher and its adjacent Great Divide project. The deal lifts production from about 14,000 bbl/d to about 34,000 bbl/d and 2P reserves to 850 MMbbl. Greenfire funded it with a C$774 million rights offering at C$6.74 and a C$1.0 billion reserves-based credit facility.

Our thesis is a low-cost doubling of scale that the market has not yet priced. Greenfire paid about 0.6x Connacher's 2P NAV and 4.8x 2027E EBITDA at US$70 WTI, plus C$30 million of targeted synergies. Pad 7 first oil in Q4 2026, Pad 5SE in Q2 2027 and Pad 8 in Q3 2027 should rebuild Hangingstone volumes. We model 40,000 bbl/d in 2027 and 46,000 bbl/d in 2028, against a long-term plan of about 65,000 bbl/d. With C$2.8 billion of tax pools, we expect no cash taxes before 2030 at our deck.

Upcoming potential catalysts and milestones include: (1) Q3 2026 results, the first quarter including Connacher (4Q26); (2) Pad 7 first oil at the Expansion Asset (4Q26); (3) C$30 million of annual synergies captured (YE26); (4) Great Divide infill wells at Pod One and Algar (2H26); (5) Pad 5SE first oil (2Q27); (6) Pad 8 first oil (3Q27); and (7) debt reduction below 1.0x EBITDA, which would open room for shareholder returns (2027E).

Valuation

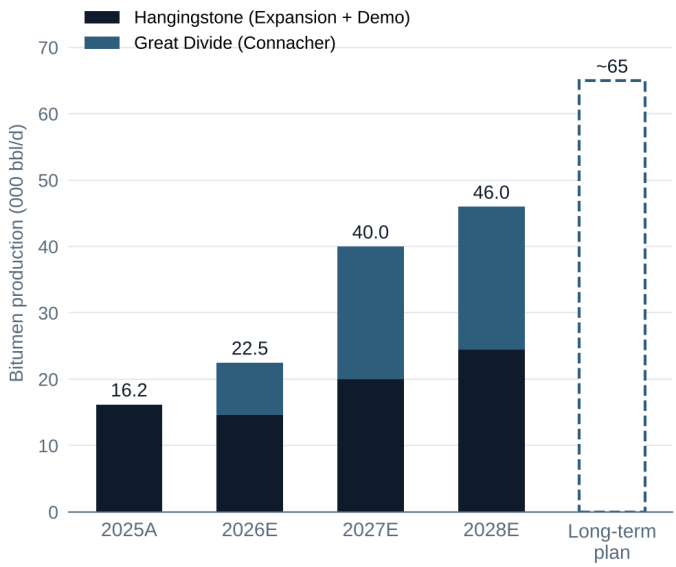
Our US$8.25 price target (C$11.73) is a 50/50 blend of 0.85x our 2P NAV of C$14.39 per share and 5.0x 2027E EV/EBITDA at US$80 WTI. Our NAV combines Greenfire's year-end 2025 after-tax 2P PV10 of C$1.99 billion with our estimate of about C$2.0 billion for Connacher. At C$9.81, the shares trade at 0.68x NAV and 3.9x 2027E cash flow. Greenfire's EV per flowing barrel of about C$86,000 sits below Strathcona and well below Athabasca (Exhibit 2). Our 0.85x NAV multiple is a discount for a 72% controlling shareholder and a thin float. Our Buy rating reflects a 17.9% implied return.

Leverage is the swing factor in both directions. At US$80 WTI, debt falls to about 0.8x 2027E EBITDA; at US$60 it rises to about 1.7x and free cash flow turns negative (Exhibit 3).

Risks to rating and price target

In addition to general operating, financing and commodity risks, we highlight: (1) oil prices and WCS differentials, where each US$10/bbl change in WTI moves 2027E EBITDA by about C$170 million; (2) SAGD reservoir performance, steam-oil ratios and the ramp of new well pairs; (3) integration of Connacher and delivery of synergies; (4) leverage, with about C$570 million drawn on the credit facility; (5) a 72% controlling shareholder, Waterous Energy Fund, which limits float and minority influence; and (6) Alberta royalty, carbon and federal emissions policy.

Exhibit 1 - Connacher doubles the production base



2025A reported; 2026E includes Great Divide from August 5, 2026. Long-term plan per company. Source: company filings, Northwall estimates.

Exhibit 2 - Canadian oil sands and heavy oil peers

Company	Price	Mkt cap	EV	Prod. (bbl/d)	EV/flowing bbl
Greenfire	**9.81**	**$2.4B**	**$2.9B**	**34,000**	**$86k**
Strathcona	41.73	$8.9B	$10.9B	117,022	$93k
Athabasca	12.15	$5.9B	$5.8B	40,000	$146k

C$. GFR price is the NYSE close of US$7.00 on Oct 26, 2026 at 1.402 USD/CAD; SCR Oct 15; ATH Oct 16. GFR net debt is the drawn credit facility. Production: GFR and ATH latest company estimates, SCR Q2-26. Source: company filings.

Exhibit 3 - 2027E sensitivity to WTI (40,000 bbl/d)

WTI (US$/bbl)	60	70	80	90	100
Adj. EBITDA (C$M)	304	474	645	816	987
AFF / share (C$)	1.08	1.79	2.50	3.21	3.92
P/CF	9.1x	5.5x	3.9x	3.1x	2.5x
FCF yield	-3%	4%	11%	19%	26%
Net debt / EBITDA	1.7x	1.1x	0.8x	0.6x	0.5x

Assumes a US$15/bbl WCS differential, 1.38 USD/CAD and C$330M of capital. Source: Northwall estimates.

Ratings: Buy, expected 12-month total return above 15%; Hold, 0–15%; Sell, below 0%. Facts are from company filings; estimates, target and rating are Northwall Research opinions. The analyst certifies these views are their own. Not investment advice.